Financial literacy towards an inclusive economy

TYPE

Speech

SUBTYPE

Central banker's speech

DATE DELIVERED

19 October 2026

COUNTRY

Sri Lanka

Welcome to the new BIS website. Please share your feedback to help us improve.

2026.

Good morning, representatives of government institutions, financial institutions, educational institutions and development partners, distinguished guests, colleagues, ladies and gentlemen.

With the inauguration of Financial Literacy Month 2026 and Fin Lit Expo – Colombo, I would like to focus on the economic purpose of this initiative.

As we look forward, Sri Lanka's economic progress must translate into wider opportunities for people across the country. Over the longer term, this depends on investment that expands productive capacity and creates employment. The financial system supports this process through the allocation of finance to viable economic activity. Financial literacy strengthens the ability of households and businesses to assess financial choices and participate effectively in the economy.

The primary objective of the Central Bank is to achieve and maintain domestic price stability. Central Bank also has a responsibility to secure financial system stability and a statutory duty to promote financial inclusion. Financial literacy contributes to this inclusion agenda by strengthening people's ability to participate effectively in the financial system.

Sound macroeconomic policies, effective regulation and structural reforms establish the conditions for sustained growth. Within those conditions, financial literacy helps people assess opportunities and make decisions they can sustain.

There is evidence to show why this deserves attention. The 2021 Financial Literacy Survey, conducted with the International Finance Corporation, revealed that 58 per cent of Sri Lankans were financially literate. This finding highlighted the need to strengthen the knowledge and skills required to make informed financial decisions. The National Financial Inclusion Survey conducted in 2026, with the support of the Alliance for Financial Inclusion, indicates that 86 per cent have access to formal financial services and 82 per cent have access to a savings account.

Welcome to the new BIS website. Please share your feedback to help us improve.

The quality of participation depends on the ability to assess financial commitments. People need to understand the full cost of a product, the obligations it creates and the risks they assume. Financial education should strengthen that judgement, enabling choices that reflect their income and circumstances. This is particularly important as economic conditions and financing costs change.

Confidence in the financial system also depends on fair treatment and reliable information. Providers must explain material terms clearly and ensure that consumers can obtain support and seek redress. Financial literacy helps people recognize misleading claims and unrealistic promises. Informed consumers and responsible institutions contribute to safer financial participation.

Price stability provides an essential foundation for financial planning. High and unpredictable inflation erodes purchasing power and makes planning difficult. Current monetary policy framework aims to maintain inflation around the target of 5 per cent over the medium term. A predictable inflation environment helps households plan expenditure and enables businesses to assess investments over a longer horizon.

Financial literacy helps people interpret these conditions accurately. People need to understand how inflation affects the real value of income and the affordability of financial commitments. They also need to distinguish between the price level and the inflation. Slower price increases do not mean lower prices. This understanding supports more informed expectations and financial plans.

Monetary policy influences financing conditions across the economy. Changes in market interest rates and credit conditions affect decisions about expenditure and investment. Financial knowledge helps households and businesses assess what these changes mean for their existing obligations and future plans. It supports decisions based on an understanding of costs and risks.

The Central Bank has a corresponding responsibility to communicate its objectives and the reasoning behind its decisions clearly. Stronger financial knowledge, supported by accessible policy communication, can help people interpret economic signals and plan on a sounder basis.

Welcome to the new BIS website. Please share your feedback to help us improve.

them. Financial literacy helps people assess the full cost of borrowing and the effect of changes in income or interest rates.

Lenders must undertake sound credit assessments and explain obligations clearly. Consumer protection and effective supervision support responsible conduct. Weak lending decisions can create financial distress and impair loan quality, with consequences for the capacity of financial institutions to serve the economy. The quality of credit decisions therefore matters beyond the individual borrower.

Financial resilience is also important. Households need to be able to meet essential expenses and manage existing obligations when their circumstances change. Financial education can strengthen planning and awareness of suitable ways to manage risk, including insurance. This can help people respond to unexpected pressures without undermining their longer-term financial position.

For small businesses, financial capability is closely connected to productivity. A business that understands its cash flow and financing costs is better placed to assess an investment and manage repayment. Reliable records also help lenders evaluate its funding needs. Appropriate finance, used effectively, can support investment in equipment, higher production and employment.

Women entrepreneurs, young people and businesses outside major commercial centres deserve particular attention. Their participation can broaden the sources of growth. Relevant financial education should accompany improvements in the products and opportunities available to them, so that viable enterprises can obtain finance on terms suited to their needs.

Digital finance can make that participation more efficient. Reliable digital payments reduce the time and cost of transactions and help businesses manage receipts and payments. These benefits depend on users understanding how to authorize transactions, recognize suspicious requests and protect their personal information. Digital financial literacy must equip them to act safely.

Providers carry an equally clear responsibility. Secure systems, transparent

Welcome to the new BIS website. Please share your feedback to help us improve.

Financial literacy must be integrated with digital finance and payments, MSME finance and consumer protection. Our objective is to connect access to suitable services with stronger financial health and the productive use of finance.

Public institutions, financial service providers, educators and development partners must sustain this cooperation. Financial education should become a regular part of learning in schools, workplaces and communities. Business support programmes should equip entrepreneurs to manage finance as part of running a viable enterprise.

Guidance should reach people when it can influence a decision, including when they obtain a loan, invest in a business or plan for retirement. Financial Literacy Month provides an opportunity to strengthen this support. Its value will depend on the work we sustain throughout the year.

We must measure improvements in capability and behaviour alongside outreach. We need evidence that people plan more effectively, assess financial commitments realistically, use digital services safely and prepare for financial shocks. That evidence should guide programme design and the allocation of resources in our future endeavors.

An inclusive economy requires people to use finance in ways that improve their livelihoods. Financial literacy supports that participation. Combined with suitable services and sound institutions, it can help households build greater security and enterprises invest more productively.

Achieving this vision requires a generational change in financial behaviour. Under the National Financial Inclusion Strategy, we have taken an important step by introducing financial literacy and entrepreneurship into the national education curriculum, with the support of the Ministry of Education and other stakeholders.

We must now mainstream and sustain these efforts across institutions and communities. The Central Bank cannot achieve this alone. The scale of this undertaking and the resources it requires call for stronger collaboration and effective partnerships. I therefore urge stakeholder institutions and the media to stand with us in this nationally important endeavour and help translate financial knowledge into lasting improvements in financial behaviour of Sri Lankans.

Thank you.

Welcome to the new BIS website. Please share your feedback to help us improve.



